

Primary producers affected by drought or natural disasters

The Australian Taxation Office can help farm businesses affected by drought and other natural disasters with:

- more time to pay
- waiving penalties or interest charged at a time you were affected by drought
- payment plans with interest free periods
- adjusting pay as you go (PAYG) instalments to better suit your circumstances
- tax incentives for primary producers.

More information is available at the Australian Taxation Office website, on:

In special circumstances, the Commissioner for Taxation may release individuals from payment of some taxes where it is shown that payment would cause serious hardship.

The Tax Office will look at circumstances on a case-by-case basis.

There are taxation measures and concessions available to drought-affected primary producers. These include:

- [profit from the forced disposal or death of livestock](#)
- [proceeds from double wool clips](#)
- [insurance recoveries](#).

Taxation issues

There are also a number of other tax concessions available to primary producers, regardless of their locations or if they are in hardship, that can be broadly classified as [tax offsets](#), [tax deductions](#) and [concessional treatments](#).

Tax offsets

Primary producers, given their highly variable income streams and remote locations, can use these mechanisms to lessen their tax burden. These include:

Tax deductions

These relate to expenses that directly facilitate earning income and reduce assessable income. These include:

Tax concessions

These relate to a variety of assistance measures for individuals such as deferrals of tax liability that can help to reduce an individual's assessable income in the current financial year. These include:

- [fuel tax credits](#)
- [luxury car tax refund](#)
- [reduction in fringe benefits tax](#)
- [small business entity tax concessions](#)

For further information on these measures contact the [Australian Taxation Office](#) on 13 28 66.

More information

- For drought assistance, contact the Australian Taxation Office Emergency Support hotline on 1800 806 218 or visit [Drought help](#) on the Australian Taxation Office website for further information.
- For small business and primary producer assistance, phone the Australian Taxation Office business enquiries line on 13 28 66 or visit [Primary producers](#) on the Australian Taxation Office website.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/drought/tax-relief>